

Meta Platforms

NASDAQ : \$1585.76B mkt cap · 2.52B sh · \$81.6B cash, \$58.7B debt · Net cash +\$22.9B (\$81.6B cash vs \$58.7B debt); ~2.52B shares; ~\$26B buybacks
META · + ~\$5B dividends FY25; Revenue \$201B FY25 (+22%); GAAP op margin 41.4%; FCF ~\$46.1B after capex stepping from ~\$72B toward \$125-145B; ~\$567 mid-June 2026: +12.6% YTD but -18% TTM, off the \$796 Aug-2025 high, bounced off the \$520 Mar-2026 low
Mature-Company
DCF

\$629.04

THE CENTRAL QUESTION

Does the ~\$130B/yr AI capex earn its cost of capital - lifting ad growth and pricing faster than the D&A compresses Meta's 41% margins?

Meta trades at ~\$1.43T (~\$567, +12.6% YTD but -18% TTM, off the \$796 high) - the cheapest mega-cap on normalized FCF at a high-teens EV/FCF, while Q1'26 ad growth accelerated to +33%. The fork is the capex: guidance jumped to \$125-145B (~2x prior year) and the stock flinched on the ROI question, even as 41% margins fund the buildout. The DCF asks whether AI ad efficiency compounds revenue faster than D&A crushes margins: a weighted +14.6%, modal base ~+8%.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$649.72
expected fair value today
+3.3% vs spot \$629.04

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$993.57	\$1,520.20	\$2,327.20	\$3,564.49
1.58× spot	2.42× spot	3.70× spot	5.67× spot

WEIGHTING RATIONALE

Ultra Bear 12% Capex burns; ad growth fades; margins compress; ~\$268 (-53%).

Bear 27% Growth normalizes; D&A weighs on margins; ~\$415 (-27%).

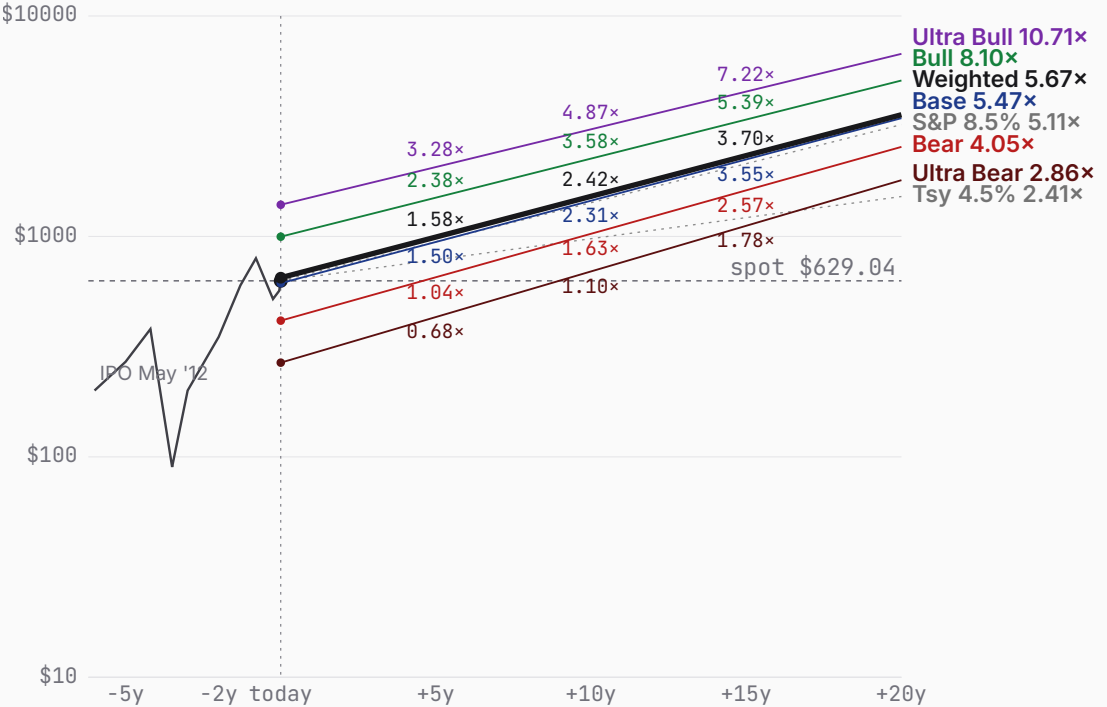
Base 34% AI lifts ads; margins hold ~41%; ~\$614 (+8%).

Bull 20% AI ad engine compounds; capex pays off; ~\$997 (+76%).

Ultra Bull 7% AI platform second act; FCF machine; ~\$1392 (+146%).

Bull (20%) + Ultra Bull (7%) together contribute \$296.93 — 46% of the \$649.72 expected value despite 27% combined probability. Today's spot (\$629.04) sits 3% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$267.55	BEAR	\$414.94	BASE	\$613.68	BULL	\$997.31	ULTRA BULL	\$1392.36
	-57.5% vs spot		-34.0% vs spot		-2.4% vs spot		+58.5% vs spot		+121.3% vs spot
CAGR +7.0% WACC 10.0% CAGR +7.0% Prob 12%		CAGR +11.1% WACC 9.5% CAGR +11.1% Prob 27%		CAGR +13.9% WACC 9.0% CAGR +13.9% Prob 34%		CAGR +17.5% WACC 8.5% CAGR +17.5% Prob 20%		CAGR +21.5% WACC 8.2% CAGR +21.5% Prob 7%	
Capex burns; ad growth fades; margins compress.		Growth normalizes; D&A weighs on margins.		AI lifts ads; margins hold ~41%; FCF compounds.		AI ad engine compounds; capex pays off.		AI platform second act; FCF machine.	

PROBABILITY WEIGHTS

Ultra Bear 12% Bear 27% Base 34% Bull 20% Ultra Bull 7% · Weighted expected \$649.72 (+3.3% vs spot)

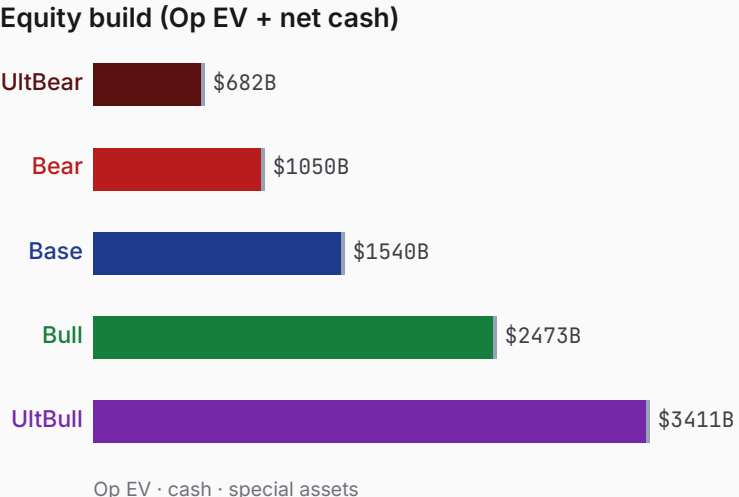
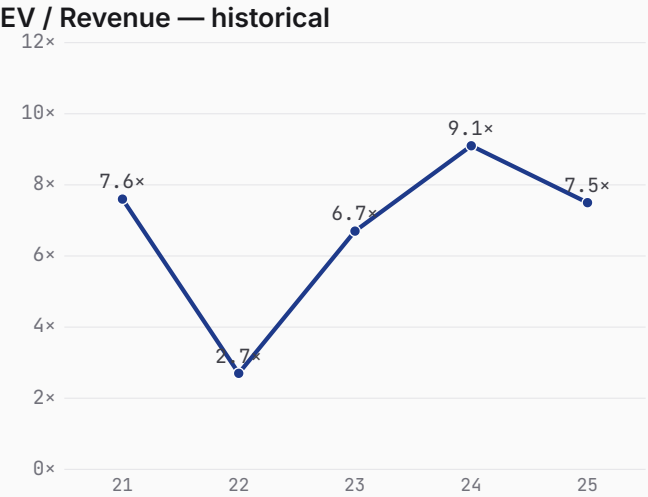
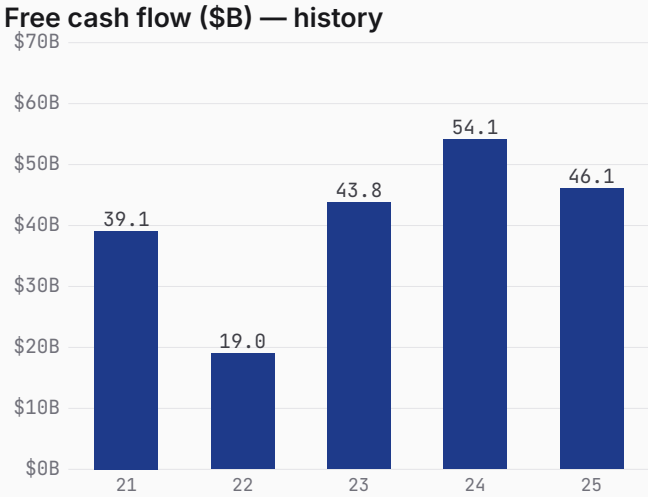
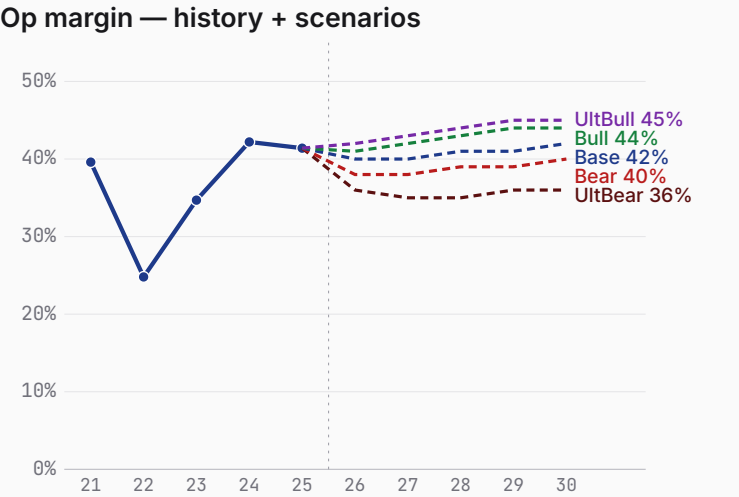
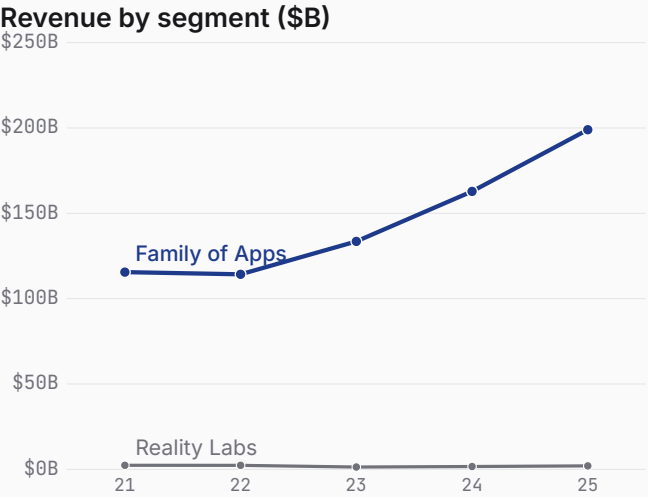
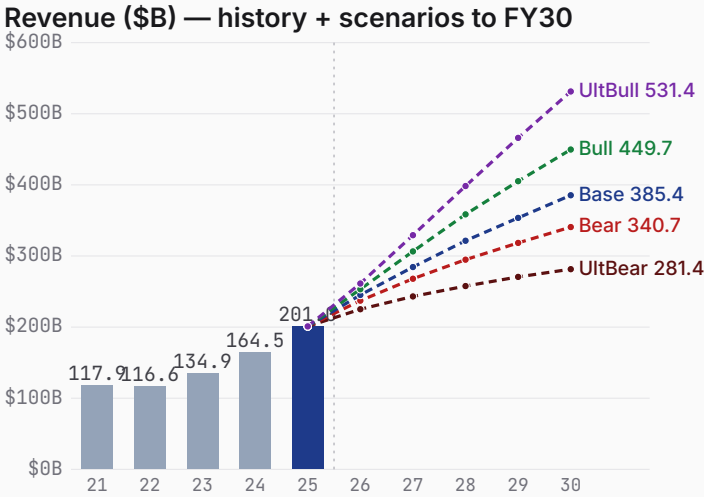
ULTRA BEAR	\$267.55	BEAR	\$414.94	BASE	\$613.68	BULL	\$997.31	ULTRA BULL	\$1392.36
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Probability 12%	Probability 27%	Probability 34%	Probability 20%	Probability 7%
Capex burns; ad growth fades; margins compress. WHY 12% The genuine bear: the market already flinched (~6% after-hours) on the capex raise, the ROI is unproven, and Reality Labs has lost ~\$80B cumulatively. 12% weight on the spend failing to convert to durable ad gains. WHAT HAPPENS The capex-ROI fear plays out: the \$125-145B buildout lands as years of D&A ahead of return, AI ad efficiency plateaus, the ad cycle softens, and Reality Labs keeps bleeding ~\$24B/yr. Revenue growth decelerates into the mid-single digits and FCF margin compresses toward ~18-20% as depreciation outruns the operating line. An ad business growing slowly while spending ~2x prior year on uncertain-return compute earns a low-teens terminal multiple → DCF ~\$268 (~53%). Net cash sets a floor but cannot offset a buildout that does not earn its cost of capital.	Growth normalizes; D&A weighs on margins. WHY 27% Share gains and pricing continue but the D&A from ~\$130B/yr capex caps margin and free cash flow. 27% as the plausible 'grows but the spend weighs' path given the elevated-capex regime. WHAT HAPPENS Ad growth normalizes off the +33% spike toward high-single/low-double-digit as the buildout's depreciation steps up, AI lifts pricing but only modestly, and Reality Labs stays a drag. Operating margin holds high-30s and FCF margin sits low-20s as capex stays elevated against a larger D&A base. DCF ~\$415 (~27%) - a still-dominant ad franchise, but one digesting a heavy buildout at a ~16x terminal FCF multiple is worth below today's price; the discount is warranted if the capex weighs on free cash flow longer than the ad engine compounds.	AI lifts ads; margins hold ~41%; FCF compounds. WHY 34% Requires the AI capex to roughly earn its cost of capital while ad growth stays double-digit - consistent with the accelerating Q1'26 ad metrics and 41% margins, but not a step-change. 34% as the central, modestly-positive outcome. WHAT HAPPENS The modal path: AI-driven ad efficiency keeps lifting volume and price (the Q1'26 +33% is the first datapoint), revenue compounds low-double-digit toward ~\$300B+, and operating margin holds ~41% as the buildout's returns roughly offset its D&A. FCF margin grinds back from the capex trough toward the mid-20s as capex moderates against a larger base. DCF ~\$614 (+8%) - the ad engine compounds and the capex earns roughly its cost of capital, so the modal case recovers to modestly above today's price at a ~20x terminal FCF multiple plus net cash; the cheapest mega-cap on normalized FCF re-rates only gently in the central outcome.	AI ad engine compounds; capex pays off. WHY 20% Meta's own AI tools are already in the core ad stack and Q1'26 showed both volume and price accelerating; if that durability holds, the capex earns well above its cost. 20% weight on the buildout becoming a real ad-monetization engine. WHAT HAPPENS The capex pays off: AI ad-creation (Muse Spark, adopters ~8M) and ranking durably lift impressions and price, the buildout's return outruns its D&A, and operating margin expands past 42% as the ad engine scales on the compute. Revenue compounds mid-teens early and FCF margin inflects toward ~30% as capex intensity peaks and rolls over. DCF ~\$997 (+76%) - if the AI spend converts to a structurally faster, higher-margin ad engine, the de-rated entry re-rates with the fundamentals at a high-20s terminal FCF multiple; this is the core of the bull and the fat right tail in the finding.	AI platform second act; FCF machine. WHY 7% Everything works - AI lifts ads AND opens a messaging/agent revenue stream AND the compute becomes a platform asset, the AWS/datacenter-style second act. ~7%, the long-duration tail. WHAT HAPPENS The full second act: AI compounds ad monetization across the 3B+ user graph, business-messaging and AI agents open a new revenue stream beyond the core ad TAM, and the compute buildout becomes an owned platform asset. Operating margin pushes mid-40s and FCF margin reaches the low-30s as the spend turns into durable, high-incremental-margin revenue. DCF ~\$1392 (+146%) - the buildout reclaims a platform multiple as AI becomes an earnings engine rather than a cost; ~7% probability, the asymmetric upside the de-rated entry is buying.

Meta Platforms business snapshot

Bear \$414.94 Base \$613.68 Bull \$997.31

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 2026 (Apr'26) results



Sources: SEC XBRL company facts (CIK 1326801; revenue, GAAP operating income/margin, cash flow, debt), Meta Q1 2026 release (revenue \$56.3B +33% YoY, ad revenue ~\$55B with impressions +19% & price/ad +12%, operating income \$22.9B at 41% margin, Reality Labs ~\$6B/qtr loss; capex raised to \$125-145B; FTC trial won Nov-2025, appeal Jan-2026). Revenue modeled as a growth path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC.

Meta Platforms 7 Powers · the moat, scored

Bear \$414.94 Base \$613.68 Bull \$997.31

Arena. Digital advertising / social platforms - Meta (3B+ user social graph, ~\$55B/qtr ads, 41% margin) vs Alphabet/Google, Amazon ads, TikTok/ByteDance, and Snap/Pinterest/Reddit; auditing a branding + network-economies + scale Power against the AI-capex ROI question.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies	Massive: ~\$200B revenue and a global ad/infra base spread fixed R&D and compute across 3B+ users; AI capex deepens the cost-per-impression advantage if it earns out.
Network Economies · thesis leans here	The core Power: the social graph compounds - more users and content make each app more valuable to users and advertisers; cross-app (FB/IG/WhatsApp) reinforces it.
Counter-Positioning	Was the mobile-social disruptor; now the incumbent being counter-positioned by TikTok's algorithmic feed, which forced the Reels response.
Switching Costs	Moderate: social graph + content history + creator relationships create stickiness, but users multi-home and attention is contestable.
Branding	Real: Instagram/WhatsApp are category-defining consumer brands with global mindshare, though the corporate brand is contested and ad-trust is a perennial overhang.
Cornered Resource	The 3B+ user behavioral/interest dataset and the social graph itself are hard to replicate; tempered by privacy regulation (DMA, ATT) constraining its use.
Process Power	AI ad-ranking, creative (Muse Spark) and infra are a compounding learning curve; the open question is whether the capex turns this into durable monetization.

PEER SET

Alphabet (GOOGL) The other ad duopolist - Search/YouTube + full AI stack; the scale/margin benchmark and direct ad-budget competitor.	15% gr · 32% mgn · ~26x EV/FCF
Amazon (AMZN) Fastest-growing large ad platform (retail-media), taking share of performance budgets at the margin.	13% gr · 11% mgn · ~3x EV/sales
ByteDance / TikTok The attention threat that forced Reels; algorithmic short-form competing directly for engagement and ad dollars.	· private
Snap / Pinterest / Reddit Sub-scale social-ad peers; pressure on incremental ad budgets, not the core graph.	15% gr · 8% mgn · ~5x EV/sales

THREAT VECTORS · FALSIFIERS

Network Economies · ByteDance / TikTok (attention) falsifier: Family DAP growth stalls or turns negative as engagement and time-spent shift to short-form rivals, capping the impression base.
Process Power · AI-capex ROI (Alphabet's full stack) falsifier: Ad growth decelerates while D&A from the ~\$130B/yr buildout keeps climbing - the spend fails to convert to durable monetization.
Cornered Resource · Privacy regulation (DMA, ATT, FTC appeal) falsifier: EU 'pay or consent' / signal-loss erodes ad targeting and pricing, or the FTC appeal reopens the structural-separation risk.

COMPETITIVE READ

Meta's network-economies Power is genuinely durable (high): the 3B+ social graph compounds, reinforced by scale across a ~\$200B ad base and the Instagram/WhatsApp brands - and Q1'26's accelerating ads show the engine isn't decelerating. The Audit: network economies dominates, scale and branding reinforce it, and the live threats are TikTok's pull on attention, privacy regulation, and above all the ~\$130B/yr AI-capex ROI. The market prices that capex fear - the cheapest mega-cap on normalized FCF at a high-teens EV/FCF - so the DCF tests whether AI lifts ads faster than the D&A weighs: a weighted +14.6%, base ~+8%, a fat right tail.

Meta Platforms show your work

Bear \$414.94 Base \$613.68 Bull \$997.31 · Weighted \$649.72 (+3.3%)

ULTRA BEAR					BEAR					BASE					BULL					ULTRA BULL				
\$267.55					\$414.94					\$613.68					\$997.31					\$1392.36				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					+7.0					+11.1					+13.9					+17.5				
Year-5 op margin (%)					36.0					40.0					42.0					44.0				
WACC (%)					10.0					9.5					9.0					8.5				
Terminal growth (%)					2.5					3.0					3.5					4.0				
Terminal FCF (\$B)					\$56.28B					\$78.36B					\$100.20B					\$134.91B				
Starting revenue (\$B)					201.00					201.00					201.00					201.00				
Scenario probability (%)					12					27					34					20				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	225.12	+36%	+40.52	+36.84	FY26	237.18	+38%	+47.44	+43.32	FY26	245.22	+40%	+53.95	+49.49	FY26	253.26	+41%	+60.78	+56.02	FY26	261.30	+42%	+65.33	+60.37
FY27	243.13	+35%	+43.76	+36.17	FY27	268.01	+38%	+56.28	+46.94	FY27	284.46	+40%	+65.42	+55.07	FY27	306.44	+42%	+79.68	+67.68	FY27	329.24	+43%	+92.19	+78.74
FY28	257.72	+35%	+48.97	+36.79	FY28	294.81	+39%	+64.86	+49.40	FY28	321.43	+41%	+77.14	+59.57	FY28	358.54	+43%	+100.39	+78.60	FY28	398.38	+44%	+119.51	+94.35
FY29	270.60	+36%	+54.12	+36.97	FY29	318.40	+39%	+70.05	+48.72	FY29	353.58	+41%	+88.39	+62.62	FY29	405.15	+44%	+117.49	+84.78	FY29	466.10	+45%	+149.15	+108.82
FY30	281.43	+36%	+56.28	+34.95	FY30	340.69	+40%	+78.36	+49.77	FY30	385.40	+42%	+100.20	+65.13	FY30	449.72	+44%	+134.91	+89.72	FY30	531.36	+45%	+175.35	+118.24
Σ PV explicit FCF					+181.71					+238.16					+376.80					+460.53				
+ PV terminal (g 2.5%)					477.63					788.74					2073.64					2927.85				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$659.34B					\$1026.90B					\$2450.44B					\$3388.38B				
+ Cash & investments					\$81.60B					\$81.60B					\$81.60B					\$81.60B				
– Total debt					\$58.70B					\$58.70B					\$58.70B					\$58.70B				
= Equity value					\$682.24B					\$1049.80B					\$2473.34B					\$3411.28B				
FY30 shares (M)					2,550					2,530					2,480					2,450				
= Expected per share					\$267.55					\$414.94					\$997.31					\$1392.36				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$430.89	\$693.96	\$1,117.62	\$1,799.94		\$653.21	\$1,028.32	\$1,618.81	\$2,548.40		\$944.22	\$1,452.80	\$2,235.32	\$3,439.31		\$1,499.61	\$2,254.90	\$3,390.60	\$5,098.29		\$2,064.85	\$3,062.13	\$4,541.09	\$6,734.37	
0.68×	1.10×	1.78×	2.86×		1.04×	1.63×	2.57×	4.05×		1.50×	2.31×	3.55×	5.47×		2.38×	3.58×	5.39×	8.10×		3.28×	4.87×	7.22×	10.71×	

Meta Platforms

People · Opportunity · Context · Deal

Bear \$414.94 Base \$613.68 Bull \$997.31

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Mark Zuckerberg · founder-led

22 yrs in seat

14%insider ownership

HIGHkey-person risk

Capital allocation (realized)
Turned shareholder-return on aggressively: a \$50B buyback authorization (Feb 2024) on top of prior programs, with ~\$29.75B of Class A repurchased in FY2024 (and ~\$23B in H1 FY2025 alone), plus the first-ever dividend (\$0.50/quarter, initiated Feb 2024; ~\$5.07B FY2024 incl. dividend equivalents). M&A built the franchise (Instagram 2012, WhatsApp 2014, Oculus 2014); subsequent deals drew FTC/antitrust scrutiny. Heavy R&D/capex — large multi-year AI/datacenter spend and the Reality Labs segment running deep operating losses. SBC ~\$16.7B FY2024 (+19% YoY).

Incentive alignment
Pay is not the alignment lever — the founder stake is: FY2024 salary was \$1 (by his request), \$0 bonus, \$0 new equity; reported other compensation (~\$27.2M) is overwhelmingly personal security and aircraft costs, not incentive pay. No PSU/TSR program for the CEO (he takes no equity grants).

GOVERNANCE FLAGS

- super-voting dual-class (Class B = 10 votes vs Class A = 1) → ~61% founder voting control on ~14% economics
- Zuckerberg owns ~99.8% of Class B — voting control is non-dilutable by outside Class A issuance
- combined Chair + CEO (founder holds both roles)
- controlled company under Nasdaq rules — exempt from majority-independent-board requirements (Meta opts in anyway; board majority-independent)
- no independent shareholder check — the controller carries every shareholder vote

PEOPLE READ

Founder-Chair-CEO with ~14% economics but ~61% non-dilutable voting control via Class B (10:1) — outsiders cannot force change and every shareholder vote is pre-decided. Aligned through the stake (not pay: \$1 salary, \$0 equity) and aggressive returns (a \$50B buyback + the 2024 first-ever dividend), but the governance offsets stack: super-voting control, combined Chair/CEO, and controlled-company status.

THE FOUR LEGS

People

observable composite · 1–5

Opportunity

The scenario distribution · the business snapshot · the Arthur Indicator

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market common — entry price weighed against the probability-weighted fair value (the +14.6% finding), then position-sized.

Meta Platforms

supporting analysis · disclaimers · glossary

Bear \$414.94 Base \$613.68 Bull \$997.31

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

Cheapest mega-cap on normalized FCF.
-18% TTM to a high-teens EV/FCF while ad revenue accelerates to +33% - priced as if the ad engine were decelerating.
- 2

The capex ROI is the whole question.
~\$130B/yr spend (~2x prior year) with uncertain return is the bear; Q1'26's accelerating volume AND price is the first datapoint.
- 3

41% margins self-fund the buildout.
Meta pays for the AI capex out of operating cash flow at a 41% margin while still buying back ~\$26B + paying ~\$5B dividends.
- 4

AI is already monetizing in the core ad stack.
Proprietary Muse Spark ad-creative and AI ranking are live; adopters doubled to ~8M, with impressions +19% and price/ad +12% Q1'26.
- 5

Breakup risk is materially reduced.
Meta won the FTC antitrust trial (Nov-2025) and keeps Instagram/WhatsApp; the Jan-2026 appeal leaves a tail, not the breakup case.

FALSIFICATION TRIGGERS

Bull validation

ad revenue stays >=20% with BOTH impressions and price/ad rising · operating margin holds >=40% through the D&A step-up · FCF margin inflects above ~25% as capex peaks · AI-ad adoption keeps compounding

Bear validation

ad growth decelerates into the mid-single digits · operating margin falls below ~38% as D&A outruns operating · FCF margin stuck near ~20% as capex keeps stepping up · Reality Labs loss widens beyond ~\$24B/yr

Reframe needed

if the ~\$130B/yr capex visibly fails to earn its cost of capital - ad growth fades while D&A keeps climbing - re-rate the terminal toward a slow-growth, capex-heavy ad utility

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Family of Apps — Meta's core ad business - Facebook, Instagram, WhatsApp, Messenger (~99% of revenue, 41%+ margin); the social-graph ad engine the DCF rests on.

Reality Labs — The AR/VR/metaverse segment (~\$24B/yr operating loss, ~\$80B cumulative); a structural drag on margin and the bear's concrete cost line.

AI capex / ROI — The \$125-145B FY26 buildout (~2x the prior ~\$72B) of AI compute; whether it earns its cost of capital via faster, higher-priced ads is the biggest swing.

Impressions x price/ad — The two ad-revenue drivers (Q1'26 +19% volume, +12% price); AI lifting both is the bull mechanism, a soft cycle the bear.

FCF margin — Free cash flow / revenue (~23% FY25, down from ~33% as capex stepped up); the swing factor - whether the buildout converts to FCF as D&A scales.